

to gauge how far the decline may go. Even if you see nearby support, the stock may continue lower just to spite you.

Experience

Let me tell you about what I found in my trade review.

J.B. Hunt

I haven't traded rounding tops often. In J.B. Hunt stock, back in 1999, I correctly guessed that the stock had completed a rounding top and bought the stock as it bottomed at the right rim. The stock started to recover and moved higher for about 2 months before it slid below the price of the right rim. I sold my position and took an 8% loss.

I traded this properly and feel glad that I sold when I did. The stock continued down more than 30% below my sale price. (It's always gratifying when your trading decisions are proven correct).

The mistake I made was buying when I did. Had I waited to buy using the 30% rule (buy after price rises 30% above the right rim low), then I would not have entered this trade and would not have taken a loss.

- Lesson: For aggressive traders, wait for price to rise at least 30% above the right rim low.

Rowan Company

In another rounding top trade, here's what I wrote in my trading notebook: "21 December 1999. If this stock [Rowan Company, (RDC)] closes above the old high of 21, then it will be a buy. Otherwise, look for the stock to stall at the top, in a rounding turn failure. However, fundamentals indicate a strengthening demand for drilling rigs. One company is expanding [their] exploration budget by 20% in 2000."

I bought the stock after it confirmed an upward breakout from a rounding top (a wider view of the chart pattern shows it to be an inverted and ascending scallop).